

Note to employer

You do not have to use this form but you may find it a useful way to calculate the cash equivalent if you provided relocation expenses payments and benefits for a director or an employee who earned at a rate of £8,500 or more a year during the year 2011–12 (that is 6 April 2011 to 5 April 2012).

Read the P11D(Guide) before you complete this form.

If you use this form you must also fill in form P11D or P9D. You must also complete form P11D(b) *Return of Class 1A National Insurance contributions due*, if you use this working sheet to fill in form P11D.

Booklet CWG5(2012) *Class 1A National Insurance contributions on benefits in kind* gives more information.

You are advised to keep a copy of each completed Working Sheet as it could help you to deal with enquiries. You do not have to give a copy of the Working Sheet to the director or employee, or to your HM Revenue & Customs office.

The term employee is used to cover both directors and employees throughout the rest of this form.

Employer details

Employer name

Employer PAYE reference

Employee details

Employee name

First name(s)

Works number or department

National Insurance number

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1

Qualifying expenses payments

Any items from last year (2010–11) that were incurred in connection with this relocation where you did not give details on the P11D (for 2010–11) because they were below the exemption limit should be included in box 4 below.

Enter the gross amount of all qualifying expenses payments

A	£	
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The cost to you as an employer of any qualifying benefits

1	£	
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less anything paid towards the cost by the employee
(up to a maximum of the figure in box 1)

2	£	
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Enter the amount of qualifying benefits

(1 minus 2) =	B	£	
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Enter the cost of qualifying living accommodation provided

C	£	
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Total of expenses and benefits

(A + B + C) =	D	£	
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2

Calculating the exempt amount

For each relocation a fixed amount of qualifying relocation expenses and benefits can be exempt. Qualifying expenses and benefits which:

- were connected to this relocation
- were incurred in an earlier tax year
and
- were below the exemption limit

have to be taken into account when working out the exempt amount for this employee for 2011–12.

Exempt amount for 2011–12 £8,000

3	£	8,000
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minus amount of qualifying expenses and benefits incurred
in 2010–11

4	£	
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Exempt amount for this employee

(3 minus 4) =	E	£	
If 4 is more than 3, enter 'NIL' in box E			

Total of expenses and benefits

(D minus E) =	F	£	
If E is more than D, enter 'NIL' in box F			

Enter F in Section J, box 15 on form P11D

Please turn over

Cheap or interest-free bridging loans 'made' by the employer

Reminder about relief which may be due

- There is a taxable benefit where the employer 'makes' a cheap or interest-free loan.
See Section H of the P11D (*Guide*), booklet 480, and P11D *Working Sheet 4*.
- The amount of the taxable benefit may be reduced if the loan in question is a bridging loan made in connection with a qualifying relocation. For conditions see booklet 480.
- This relief will not become due unless the total **for all years** of all other qualifying benefits is less than £8,000.
- It will only become clear whether or not this special relief arises when the relocation has been completed and you know the total of all of the other qualifying expenses and benefits.
- Guidance on the calculation of the relief is set out in booklet 480.
- In many cases you will not have enough information to know whether or not this relief is due for the year in which the bridging loan is first advanced. We would not, therefore, expect the employer to take this into account when calculating the cash equivalent.
- If it appears that the relief will be due, you may wish to advise your employees to contact their HM Revenue & Customs office to arrange for the relief to be calculated.